

The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · For middle and senior shipyard management

Vol. 1, No. 2 — Week 30

July 24, 2026

One thread runs through this week: skilled labor is the binding constraint, and everyone is now planning around it out loud. Congress moved to block foreign-built warships while opening a narrow lane for allied-built auxiliaries; the Navy stood up an acquisition executive that pulls most of NAVSEA's workforce into program portfolios; a venture-backed newcomer broke ground on what it calls the country's largest shipyard; and the service walked away from a \$1.6 billion submarine repair to "reallocate the workforce" to higher priorities. Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners. Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's read; Speculation is flagged.

WATERFRONT OPS & PRODUCTION

The country's largest shipyard, if it gets built: Saronic breaks ground in Brownsville

FACT: per USNI News (July 16, 2026), autonomous-boat builder Saronic Technologies has picked an 835-acre site in the Port of Brownsville, Texas, for a \$3.2 billion greenfield shipyard it calls Port Alpha, after Cameron County approved a 95 percent, 19-year tax abatement. FACT: CEO Dino Mavrookas told reporters the site could employ up to 10,000 people over ten years across commercial and defense work, with construction starting this year, the yard ready to build in 2028, and capacity for ships up to 850 feet (about a Wasp-class amphibious ship); a much larger phase-two build-out would, he said, make it the largest shipyard in the US and one of the largest in the world. FACT: it is Saronic's third site, after a central-Texas plant building 25-foot Corsair autonomous boats and a former Gulf Craft yard in Louisiana for its Marauder medium unmanned surface vessel, and the Navy has bought about \$350 million in small vessels from the company.

Assessment: the interesting part is not the dollar figure, it is a venture-funded newcomer with an autonomy-first design philosophy ("there's no reason you can't unman those ships completely,"

Mavrookas said) proposing the largest US yard on a site that today hosts most of the country's ship-breaking. It is a real signal about where industrial-base growth is coming from, and a real question about whether greenfield capacity can stand up on a 2028 timeline.

Bottom line: Watch the 2028 build-ready date and the phase-one hiring ramp as the real tests; a tax abatement and a rendering are the easy part of standing up a yard from bare dirt.

Sources: USNI News, Jul 16, 2026; Naval News, Jul 2026

Deckplate: the trades problem is a pay-and-retention problem, not just a hiring one

FACT: in a report released September 3, 2025 (GAO-25-107152), GAO found that the Defense Department relies on its Federal Wage System (FWS) blue-collar workforce to maintain and repair equipment, and that a pay-adjustment cap set by Congress on FWS wage rates "may have contributed to" recruitment and retention challenges by holding federal wages below local market rates. FACT: officials at Norfolk Naval Shipyard, one of GAO's site visits, reported challenges recruiting and retaining these employees, including competition with the private sector for skilled labor and a lengthy federal onboarding process. FACT: separately, GAO's April 22, 2026 shipbuilding testimony (GAO-26-109068) lists "increasing shipbuilder workforce wages" among the fixes officials themselves propose.

Assessment: the whole issue this week is about adding capacity, and this is the constraint underneath it. The best-supported finding in expertise research (Ericsson's work on deliberate practice) is that trade proficiency takes years of coached practice, so a trained journeyman lost to a higher-paying private yard is not a one-for-one replacement, it is years of accumulated skill walking out the door. A pay cap that holds public-yard wages below the very yards you compete with turns every journeyman into a flight risk.

Bottom line: Treat retention and pay flexibility as first-order levers, not afterthoughts; recruiting to a hiring target while losing trained trades to a wage gap just runs the treadmill faster.

Sources: GAO-25-107152, Sep 3, 2025; GAO-26-109068, Apr 22, 2026; framing from Ericsson et al., “The Making of an Expert” (HBR 2007), Assessment-level.

MAINTENANCE ENGINEERING & TECHNOLOGIES

Research radar: digital twins as the quality path for additive parts

FACT: a systematic review posted to arXiv (Ahsan and colleagues, “Digital Twins in Additive Manufacturing: A Systematic Review,” submitted September 2, 2024 and revised that November) surveys how digital twins, virtual replicas of a machine or part used for real-time production monitoring, are being applied in additive manufacturing using machine learning, augmented reality, and simulation. FACT: the review flags the open problems plainly: scalability, integrating high-quality data, and the computational power needed for real-time use.

Assessment: for a yard standing up metal and polymer printing (the N-RAM and additive-at-sea push covered previously), the digital twin is the quality-assurance layer that could eventually let a printed part be qualified by monitoring the process rather than destructively testing the result. The review’s honest caveat, data quality and real-time compute are unsolved, is exactly why this is a horizon capability, not a this-year one. This is a preprint survey, not peer-reviewed, so treat it as a map of the field rather than a finding.

Bottom line: Track digital twins as the emerging QA route for additive parts, and read any vendor “digital twin” pitch against the review’s unsolved list: scalability, data quality, and real-time compute.

Sources: Ahsan et al., arXiv:2409.00877 (preprint, Sep 2024)

OPERATIONS MAINTENANCE & READINESS

Your chain of command is changing: the Navy stands up PAE Maritime

FACT: per USNI News (July 20, 2026), the Navy’s new Portfolio Acquisition Executive (PAE) Maritime, led by civilian Chris Miller, reached

initial operating capability per a July 16 memo, overseeing amphibious ships, aircraft carriers, surface combatants, auxiliaries, and ship readiness and sustainment through five deputy PAEs, and overseeing the three Supervisor of Shipbuilding offices at Bath Iron Works, HII Ingalls (Pascagoula), and HII Newport News. FACT: the memo says PAE Maritime is “empowered with the authority, responsibility and accountability to direct program outcomes... to deliver on time and under budget.” FACT: the change beneath the headline is large: Vice Adm. Seiko Okano told reporters in March that “about 70 percent of the functions and the workforce at our systems commands like NAVSEA will transfer to the PAEs,” with the systems commands keeping engineering and infrastructure, and a separate PAE Industrial Operations under Vice Adm. Jim Downey (who also heads NAVSEA) will run maintenance and the public shipyards.

Assessment: for this readership the news is not that another office reached IOC, it is that the command structure over both new construction and public-yard maintenance is being rewired, with most of NAVSEA’s people and authority moving into program-aligned portfolios. Done well it puts decisions closer to the program managers; done poorly it adds a layer during the busiest sustainment period in a generation.

Bottom line: Track where your reporting lines land as the SYSCOM study concludes, especially PAE Industrial Operations over the public shipyards.

Sources: USNI News, Jul 20, 2026

The backlog made visible: the Navy walks away from a \$1.6B submarine repair

FACT: as dated context that frames the workforce squeeze, USNI News reported (April 10, 2026) that the Navy will inactivate the attack submarine USS Boise (SSN-764) rather than finish an overhaul it has drawn about \$1.6 billion toward (including a \$1.2 billion 2024 contract to HII Newport News); scheduled for overhaul since FY2016, the boat sat pierside for years and lost its dive certification in 2017. FACT: Chief of Naval Operations Adm. Daryl Caudle said the move “allows us to reallocate America’s highly-skilled workforce to our highest priorities: delivering new Virginia and Columbia-class submarines and improving the readiness of the current fleet.” FACT: USNI notes Boise became

“the public emblem” of the maintenance backlog at the four public shipyards, which prioritize ballistic-missile submarines, carriers, then attack boats, and cites a 2021 Congressional Budget Office finding that Virginia-class boats returned from overhaul about nine months late on average and Los Angeles-class about four and a half months late.

Assessment: the story under the headline is explicit triage. The Navy is openly rationing the same scarce trades between repair and new construction, and, as Hudson’s Bryan Clark told USNI, “the same humans that are repairing Boise aren’t the same humans that are going to build new submarines.” Walking away from a \$1.6 billion boat to free up people is the workforce-as-binding- constraint thesis stated as bluntly as it gets.

Bottom line: “Reallocate the workforce” is becoming policy, not a talking point; expect more explicit repair-versus-build triage as long as skilled labor, not money or dock space, is the limit.

Sources: USNI News, Apr 10, 2026

BUSINESS PRACTICES & STRATEGY

Congress splits the difference on foreign-built ships: no warships, maybe auxiliaries

FACT: per USNI News (June 16, 2026), congressional defense committees moved to “pump the brakes” on the administration’s push to buy foreign-built warships. FACT: the Senate Armed Services Committee’s FY2027 defense-bill mark removes the Title 10 presidential waiver that lets the commander-in-chief cite a “national security interest” exception to buy foreign warships, while extending authority to buy auxiliary ships (tankers, bulk-fuel vessels, and roll-on/roll-off ships) from allied shipyards under the so-called “Finland model”: build up to two overseas, concurrent with foreign investment into US yards for the follow-on ships, and only if they would be delivered faster than they could be built domestically, in a treaty-ally yard. FACT: the House went further, with Rep. Jared Golden’s amendment (his district is near Bath Iron Works) barring any authorized funds from buying an American warship built in a foreign yard, and House appropriators blocking funds for “foreign shipyards” outright.

FACT: this follows the administration’s FY2027 plan to pursue foreign frigate and destroyer designs built abroad, with a \$1.85 billion research request sitting in the separate reconciliation process lawmakers have yet to resolve, and, per Naval News (July 10, 2026), two Navy Requests for Information that drew responses from Hanwha Ocean and HD Hyundai on both the tanker and the destroyer-sized combatant, and from Samsung on the tanker only. An RFI is market research, not an order.

Assessment: the naive headline is “Korea to build US warships.” The accurate story is close to the opposite. On current legislative text, the destroyer path is being closed from both chambers, while the realistic near-term opening is allied-built auxiliaries on the Finland model. For a planner, that is the signal: expect allied tanker and fuel-vessel work to move first, treat Korean-built combatants as blocked pending the House-Senate conference, and read the reconciliation fight over the \$1.85 billion as the real tell.

Bottom line: Plan for allied auxiliaries, not foreign combatants, in the near term; the RFIs are the Navy taking measurements, not placing an order.

Sources: USNI News, Jun 16, 2026; Naval News, Jul 10, 2026; Naval News, Jun 4, 2026

The administration’s answer to the critics: foreign money, US yard, US ship

FACT: per USNI News (July 17, 2026), Hanwha Philly Shipyard will build a missile-range instrumentation vessel, the “Golden Defender,” to support the Golden Dome missile-defense effort, based on the National Security Multi-Mission Vessel (NSMV) design Hanwha is already finishing for the Maritime Administration’s training ships, with TOTE Services as vessel construction manager; it would replace the aging missile-tracking ships SS Pacific Tracker and SS Pacific Collector. FACT: OMB Director Russ Vought used the ceremony to answer the foreign-ship debate directly: “Yes, they are foreign partners. Yes, they are direct foreign investment... But these are U.S. shipyards. These are U.S. ships, and these are U.S. jobs.”

Assessment: two things to pull out. The mechanism is a commercial-derivative fast-track, reusing a training-ship hull with a “hot production line” to field a niche capability quickly

rather than starting a clean-sheet design. And the Hanwha-Philly model (foreign capital, American yard and workforce) is precisely the counter to the Golden amendment, which the administration is now framing on purpose. It is the domestic half of the same argument as the item above.

Bottom line: The NSMV-derived approach is a template to watch: when a commercial hull with a live production line can be adapted, the Navy moves faster than a new program, and “foreign investment in US yards” is now the administration’s standard rebuttal to the build-nothing-abroad camp.

Sources: USNI News, Jul 17, 2026

UPCOMING EVENTS

Generated from the events registry (dates exactly as organizers publish them; next ~90 days).

Dates	Event	Register by	Why it matters
Jul 30, 2026	NSRP Sustainment Panel Project Roundtable, Virtual	None published	Active sustainment R&D projects in one 90-minute virtual window, zero travel
Aug 18-19, 2026	NSRP Electrical Technologies Panel Meeting, Pullman, WA (also virtual)	None published	The panel behind the fiber-optic switchboard-sensing pilot; electrical condition-monitoring tech transfer
Aug 24-25, 2026	NSRP Workforce & Compliance Panel Meeting, Pensacola, FL	In-person closes Aug 13, 2026	Cross-yard workforce practices against the Navy's 250,000-hire target, directly relevant to this issue's Deckplate item
Sep 22-24, 2026	Fleet Maintenance & Modernization Symposium (FMMS) 2026, Virginia Beach, VA	Early bird thru Aug 16, 2026	The flagship fleet-maintenance event for exactly this readership
Sep 29 - Oct 2, 2026	SCA Fall Membership Meeting 2026, Washington, DC	Members only	The surface-repair industrial base's Hill-and-Navy engagement window, timely given the foreign-build fight